

Say Anything

Translating between market rates and Central Bank speak

- We previously applied the JPM Hawk Dove Score Indices (HDSIs) of central bank tone to DM fixed income valuation
- Here we show how changes in HDSIs and yields propagate across markets
- Changes can be idiosyncratic or global; this transmission articulates the macro narrative markets are pricing about inflation and central bank reaction functions
- G10 HDSIs and particularly front-end yields have been driven by the global factor in recent years, reflecting shared inflation challenges...
- ... by contrast for the 10Y sector and curve spreads (2s/10s, 10s/30s etc), the share of idiosyncratic shocks is rising, particularly for JPY
- Shocks to JPY 10Y yields have been transmitting more strongly to USD 10Y, 30Y; we also outline other contagion channels of note
- Positive co-movement in HDSIs and curve spreads suggests some central banks are losing traction in financial conditions...
- ... yield valuation gaps were well-explained by fears of global supply shocks a couple of years ago, but have more demand side drivers now (fiscal policy, capex exuberance, equity returns)
- Incorporating global and local drivers, most longer-ends screen cheap on valuation models...
- ... given the model betas, trusting this signal to enter longs in 10Y USD, EUR, or AUD requires both global and idiosyncratic HDSIs to stop rising
- ... by contrast the signal for longs in 10Y GBP, NOK is more reliant on stability in global inflation FRIs; NZD 10Y screens broadly rich, given its high idiosyncratic HDSI and inflation FRI scores

Economics Research

Ben K Jarman

(61-2) 9003-7982

ben.k.jarman@jpmorgan.com

J.P. Morgan Securities Australia Limited

Global Markets Strategy

Jay Barry ^{AC}

(1-212) 834-4951

john.f.barry@jpmorgan.com

J.P. Morgan Securities LLC

Francis Diamond ^{AC}

(44-20) 7134-1504

francis.diamond@jpmorgan.com

J.P. Morgan Securities plc

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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Summary

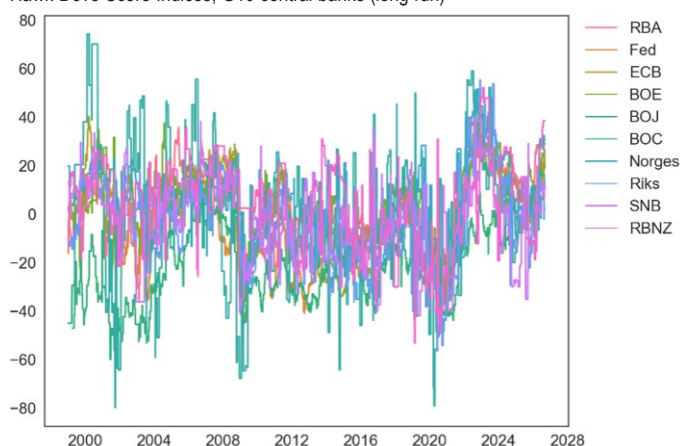
Our colleagues in JPM Global Economics publish systematic summaries of central bank communications, applying large language models to a library of commentary extending back to the late 1990s (see [here](#), [here](#)). Among other metrics, they compute **Hawk Dove Score Indices (HDSIs)**, with higher values conveying more hawkish language.¹ We previously **employed these indices as valuation inputs for developed market yields** (see [“Talk is Cheap: Valuing DM Rates Markets with Central Bank Speak”](#)). Such models complement our analysts’ judgment and other approaches using richer sets of economic data (see [“Makes much more sense to live in the present tense”](#)).

Valuation is a static exercise, whereas the signals on which it is founded are constantly evolving, and their changes can be just as important. For example, in over/under-weighting a particular market, investors hope to time their exposure to an emerging idiosyncratic theme, or capture favourable beta to a global factor already in motion.

In this piece, we analyze the dynamic properties of the DM HDSIs, separating central bank rhetoric and corresponding yields/curve spreads into evolving idiosyncratic and global components. The analysis shows that global factors have been driving more of the variation in HDSIs and front-end rates lately, whereas idiosyncratic factors are rising in prominence for longer maturity yields. We discuss **the narrative this implies regarding financial conditions**, compare to our own fundamental views in different markets, and trace the notable channels of contagion. We conclude by blending valuation and model betas, to **outline conditions under which different markets are likely to perform, given their leverage to global/local factors in HDSIs and inflation.**

Figure 1: JP Morgan's Hawk Dove Score Indices extend back to the late 90s, showing co-movement through multiple business cycles

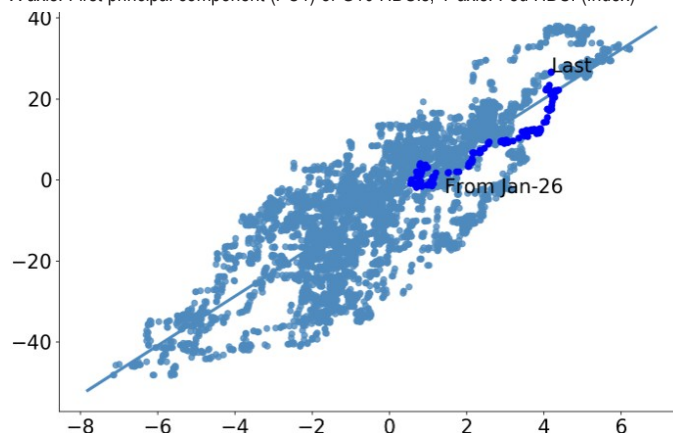
Hawk Dove Score Indices, G10 central banks (long run)



Source: J.P. Morgan.

Figure 2: The Fed HDSI had slipped to relative dovishness vs the G10 pack this year, before its recent upturn

X axis: First principal component (PC1) of G10 HDSIs; Y axis: Fed HDSI (Index)



Observations since Jan-26 in dark blue.

Source: J.P. Morgan.

1. Updates of this and other measures are published to JPMM after all relevant central speeches/statements, for example, [this one](#) on the Fed. For our HDSI inputs, we average the ‘speech’ and ‘statement’ HDSIs for each central bank, so the index evolves with sufficient frequency.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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In the previous analysis above we found **significant co-movement in the level of HDSIs across DM central banks (Figure 1)**. In the full suite of G10 central bank commentary data back to the late 90s, each has a correlation of more than 55% to the first principal component of all HDSIs. The common factor in central bank rhetoric is then a natural benchmark across markets (e.g. **Figure 2**), and in establishing a consistent valuation framework.

Our earlier valuation analysis in mid-24 did well in highlighting the broad cheapness of DM front-ends relative to central bank rhetoric, which was followed by a significant 2H rally in yields. Residuals can however sometimes correct via the valuation converging to yields, rather than vice versa. For example, **some front-ends screen cheap vs the HDSI-fits at the moment with Japan a clear relative outlier (e.g. Figure 3)**. This could reflect markets taking a more positive view on the data, and they could be right. Alternatively, a valuation gap can persist if markets broadly agree with the sentiment of a central bank's tone, but view it as cheap talk.

Figure 3: In the long-run sample, the JPY front-end screens very cheap to the HDSIs

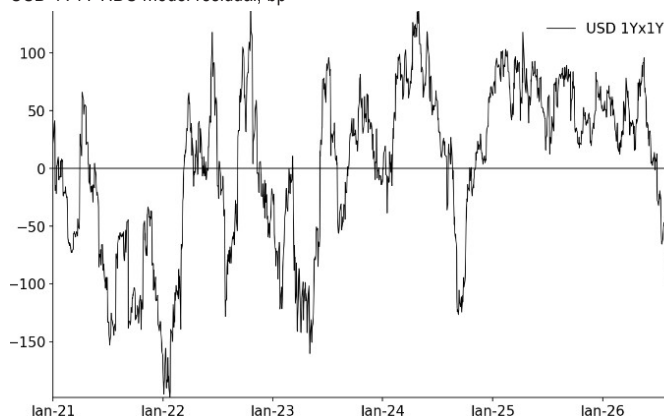
HDS valuation models; R², residual (positive is cheap)

	R ²	Residual (Bp)	Z Score
USD 1Yx1Y	0.7389	-30.3	-0.43
EUR 1Yx1Y	0.7635	-2.6	-0.04
GBP 1Yx1Y	0.7312	-37.4	-0.48
SEK 1Yx1Y	0.7361	1.7	0.03
NOK 1Yx1Y	0.6538	63.3	0.96
AUD 1Yx1Y	0.7973	23.2	0.38
NZD 1Yx1Y	0.8432	-53.9	-1.05
JPY 1Yx1Y	0.7631	124.9	4.65

Individual models estimated of the form: 1Yx1Y = f(constant, PC1 and PC2 of G10 HDSIs, Home central bank HDSI, home JPM GDP FRI and JPM inflation FHI). R squared, residual (Bp) and Z Score on sample since January 2021, daily data.
Source: J.P. Morgan.

Figure 4: The US front-end no longer screens cheap to the HDS factors in level terms

USD 1Y1Y HDS model residual, bp



Source: J.P. Morgan.

Whether a residual reflects market views on the data or the reaction function is similarly important when relying on the HDSI framework for relative value assessments (note the spread of Z Scores in Figure 3). **Identifying the local and global factors jointly driving any changes in central bank tone, yields and curve shape helps in this regard, in isolating the narrative being priced, and so how it may resolve.**

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
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Fundamentals

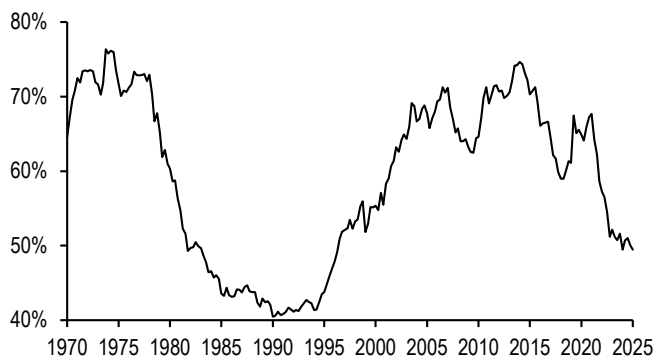
For example, we have argued that the BOJ's direction of travel is clear, but sequencing is complicated by political constraints. Nevertheless, we expect further hikes in September and December, and a policy rate of 2.25% [by end-27](#), slightly above market pricing. The JPY front-end currently screens cheapest to the long-run fit to the HDSIs (**Figure 3**), so our view implies the market will drag up the HDSI, rather than vice versa.

In the US, it has been our long-held view that labor markets would recouple with the broader economy this year, and the pace of employment growth has picked up from 2025, albeit unevenly. Accordingly, with core inflation running above the Fed's 2% core PCE target for now 5+ years, 1y1y OIS has repriced 125bp higher and is now pricing in 60bp of hikes by next summer, while J.P. Morgan continues to forecast a single hike in December 2026. The unemployment rate has been stable over the last year, and with GDP growth averaging more than 2% over the same period, there is a legitimate question as to whether the current stance of monetary policy is restrictive, justifying an upward slope to the money market curve. **Through this year, the HDS valuation for USD 1Y1Y yield has moved higher as the Fed (and other central banks') tone shifted, and the front end screens somewhat rich on this basis (Figure 4).**

Furthermore, term premium has risen substantially from its nadir in the post-GFC and COVID era, and is now in line with average levels that prevailed in the decade prior to the GFC, supported by a smaller Fed balance sheet as well as weakening foreign official demand for Treasuries. For the first two decades of this century, these two sets of investors, along with US banks, comprised a 60-70% ownership share of the Treasury market, but this share has declined to below 50% in the post-pandemic era (**Figure 5**). In this context, **we believe pricing in more than one hike is justified, as the current environment more closely resembles 1999, when the Fed delivered 100bp of hikes** (see [US Treasury Market Daily](#), 6/25/26). **That pricing is well short of the 1999 template, despite an observed increase in term premium and questions about policy restrictiveness, suggests markets believe what will be done is less than what should be done.**

Figure 5: Treasury market ownership has shifted away from more price-insensitive investors in the post-pandemic era

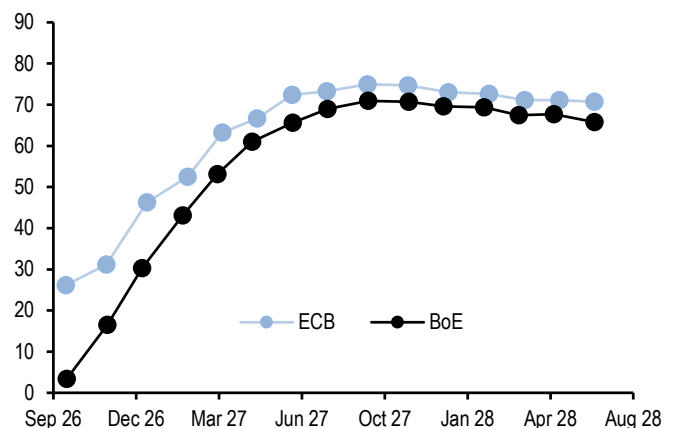
SOMA, US commercial bank, and foreign combined share of marketable Treasury debt outstanding; %



Source: Federal Reserve Z.1

Figure 6: Around 70-75bp of cumulative BoE and ECB hikes are priced in to the front end over the next 12M

Cumulative hikes priced into ECB OIS and MPC OIS curves; bp



Source: J.P. Morgan.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

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J.P. Morgan Securities plc

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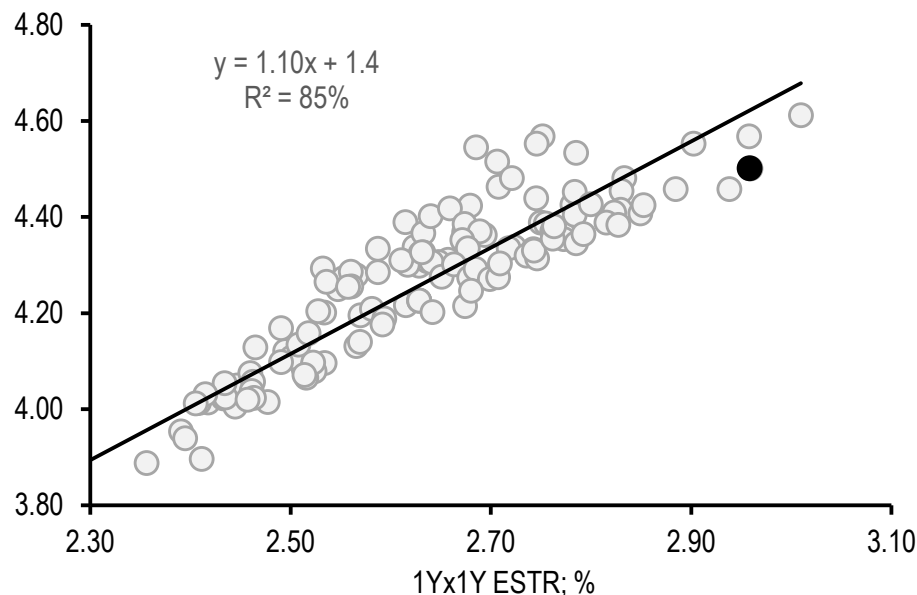
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In the Euro area, the ECB hiked 25bp in June to 2.25% in response to building inflation pressures from energy prices. Before the Middle East conflict began, we had expected Euro area core inflation to downshift to target by the middle of this year. However, core HICP was 2.4% in August, with stickiness reflecting fading drags from technology products and positive wage drift, rather than indirect energy effects. We expect headline and core HICP to remain elevated over 1H27 with core still above target at 2.2% at the end of next year. **Our baseline is for the ECB to hike another 25bp in both September and December**, taking the policy rate to 2.75% by year end. This reflects more persistent energy price pressures, particularly natural gas, as well as more resilient growth despite ongoing geopolitical and energy uncertainty, and an ongoing lift from German fiscal policy. Risks are tilted to a fourth hike in the cycle in 1Q27 with recent ECB commentary suggesting that the ECB's estimate of neutral rate is moving higher to 2.25% or even 2.5%.

The front end of the ECB OIS curve prices in a cumulative 75bp of further hikes from the ECB over the next year (**Figure 6**), more than our baseline forecast, reflecting the growth backdrop as well as TTF gas prices now above 70 EUR/MWh. 1Yx1Y ESTR is close to the 3% level with the 1Y/1Yx1Y ESTR curve upward sloping and 1Yx1Y/2Yx1Y essentially flat. **We see 1Yx1Y ESTR valuations as modestly cheap vs. our baseline view and the HDS model. However, we are cautious on fading these valuations** given energy price dynamics, growth resilience and the fact that recent ECB commentary mentioned insurance hikes could be appropriate in the future, likely lowering the bar for the ECB to deliver.

Figure 7: 1Yx1Y ESTR and 1Yx1Y SONIA have exhibited strong positive directionality

1Yx1Y SONIA regressed against 1Yx1Y ESTR; past 12M; %



Source: J.P. Morgan

In the UK, the labour market has been weak, but wage growth has remained elevated and pricing surveys have responded strongly to the energy shock with headline CPI rising to 2.9%oya in July. The MPC seems in no hurry to tighten, with a split committee, and we expect the BoE to deliver a 25bp hike in November. However, UK natural gas prices have followed the evolution of Euro gas and are at their highest levels since

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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March 2023 with the futures curve implying increased domestic energy bills over the next few months. **The MPC OIS curve prices over 70bp of cumulative hikes over the next 12M, very similar to the ECB (apart from the September 2026 meeting),** reflecting similar gas price exposure. As a result, 1Yx1Y SONIA has been extremely well correlated with 1Yx1Y ESTR (**Figure 7**) and at 4.50% is back close to its post-conflict highs. **We view 1Yx1Y SONIA valuations as cheap vs. our baseline BoE forecast but are cautious in fading valuations** given 1) increased energy price uncertainty and 2) despite limited evidence of second-round effects so far, the BoE might need to shift its rhetoric more hawkishly if there are signs that 2027 wage growth is set to come in above 3.5%.

Think global, act local

In some of the above markets, our forecast fundamentally aligns with market pricing, and in others we think market-perceived risks can justify pricing more than our policy call. **These are quite different states of the world in terms of what they mean for financial conditions, and are inherently linked to judgements about the data and central bank reaction functions.** In this section, we pick apart the drivers of short-run changes in central bank tone and corresponding market yields/curves, to shed further light on these issues.

The analysis cited earlier found that the beta of DM front-end yields to the first principal component of the HDSIs has risen since 2020. This is intuitive given global central banks' shared challenge of above-target inflation, and the important role of goods and energy supply shocks.

Figure 8: Short-term changes in HDSIs are increasingly well-explained by recent changes (i.e. lags) of some central banks in the group

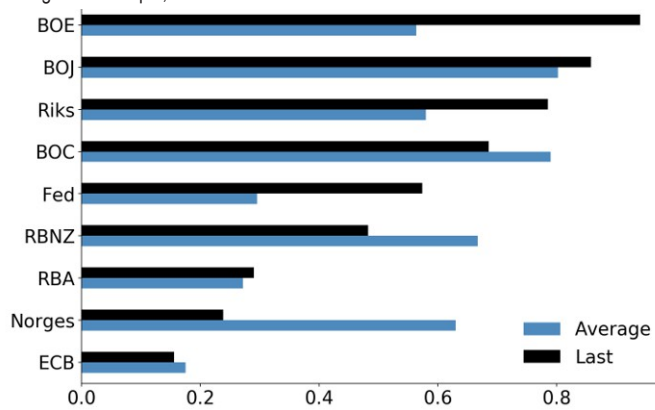
RMSE over all central banks, from rolling VAR



Note: A rolling 2Y VAR of 1 week changes in the system of HDSIs (Fed, ECB, BOE, BOJ, BOC, RBA, RBNZ, Norges, Riks) is estimated, with 4 lags. Residuals are accumulated over four weeks to give an HDSI-level residual observed under weekly updates. The root mean squared error across equations/central banks is taken at each point in time.
Source: J.P. Morgan.

Figure 9: For several CBs, a smaller share of HDSI surprises have been idiosyncratic lately, though the BOE and Fed have stepped up sharply; the idiosyncratic share for the BOJ is persistently high

% of 1m-ahead surprise (residual) in central bank HDSI which is idiosyncratic; average over sample, and over last 2Y



Note: From the VAR, the forecast error variance decomposition is computed, breaking down the 1m-ahead surprise/residual in each HDSI relative to what the model expects. We apply the generalized approach of Pesaran and Shin (1998); Diebold and Yilmaz (2014), using the reduced form residuals, which are not orthogonal. A normalization by the total variance in each equation ensures shocks 'to' each central bank have relative contributions from each equation which sum to 1, with the global shock being the 1 - the 'own'/idiosyncratic share. The nature of the global shock and its transmission is then allowed to be different for each HDSI. This contrasts to, for example, a Cholesky decomposition, where a strict causal ordering is imposed, and defines a truly global shock as owing to the earliest in the hierarchy.
Source: J.P. Morgan.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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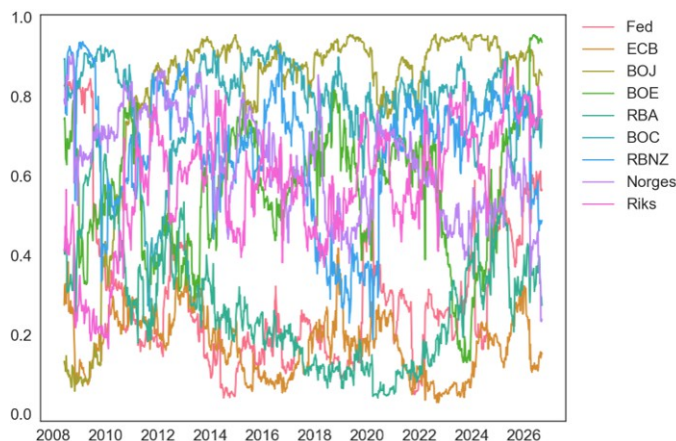
We find that a similar theme applies to very short-run *changes* in central bank rhetoric. To demonstrate, we run a rolling VAR of weekly changes in the system of G10 HDSIs (ex-SNB). The residuals measure the surprises one would experience using this model to forecast HDSIs on a week-ahead basis. These residuals have been smaller in recent years (**Figure 8**), as **more of the variation in all HDSIs is being dynamically explained by recent lags, whether global (propagating across central banks) or local (e.g. autocorrelation for some central bank).**

The improved prediction in HDSIs at a week-ahead frequency is a double-edged sword. It captures well the increasingly correlated global policy impulses evident in recent months. However, the implied, faster propagation of central bank tone changes also means potentially less reliable trading signals from valuation models based on fixed HDSI inputs. For strategic macro trades, we are interested in **forecasting these inputs further into the future. This means losing the luxury of knowing the future zeitgeist shifts which will cascade through the system, though we can characterize their broad features**, by decomposing variance in 1m-ahead surprises from each central bank in the above model into their global and idiosyncratic components. Respectively, these represent the proportion of shocks to a central bank HDSI which flow from surprises to others, versus those which originate from that central bank.²

The proportion of HDSI impulses which are idiosyncratic varies significantly across central banks from above 80% for the BoJ, to less than 20% for the ECB (Figure 9). For most central banks, this share has either been relatively unchanged or gone down in the last two years (black bars) compared to the long-run average (blue), as global shocks take over. The idiosyncratic share has gone up most noticeably for the Fed, BOE, and Riksbank. Not surprisingly, the BOJ's idiosyncratic share is highest among all CBs over the whole sample (blue).

Figure 10: The relative importance of the idiosyncratic factor varies over time

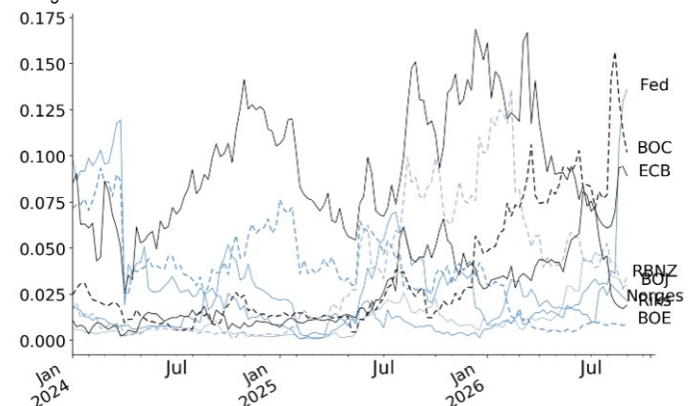
Proportion of each central bank's 1m-ahead HDSI shock which is idiosyncratic, rolling basis



Source: J.P. Morgan.

Figure 11: The RBA's transmission to other HDSIs has gone up this year

Proportion of each central bank's 1m-ahead HDSI shock which owes to the RBA, rolling basis



Source: J.P. Morgan.

2. We emphasize that what matters is timing and co-movement, not causality. From a causal perspective, there seems little doubt that the Fed is the most important central bank. But markets are concerned with what information is already priced, and given the random sequencing of global developments, communications of even small central banks can contain information of relevance to others. This suggests being relatively agnostic as to how global factors are revealed from a timing perspective across economies/central banks. See also the chart note above.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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The relative importance of idiosyncratic factors evolves over cycles for each central bank (**Figure 10**). An important read-through from Figure 9 is that over the last couple of years, a view on the evolution of the ECB, RBA, Norges Bank, and to an extent RBNZ HDSIs seems to load mostly on the evolving global factor.³ These central banks are of course always looking at their own domestic data, but that seemingly influences the rhetoric gradually enough to not drive much idiosyncratic change in the very short run.

The BOJ and BOE by contrast have been more of a play on central-bank-specific shocks, so have more scope for relative over/under-performance on a cross-market basis, but with the compromise that there is less inherent protection from background noise, if global factors are also active.

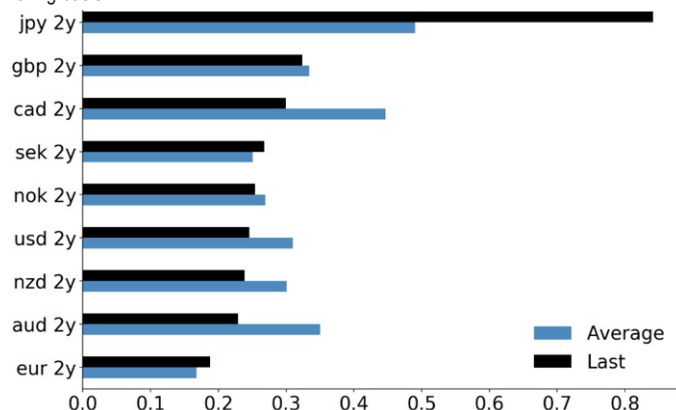
We note too that each central bank has different loadings in the transmission of global shocks to others. For example, the RBA is usually a minority player in the transmission of the global HDSI shock for most other central banks, but has played a greater than usual role this year for the BOC, Fed and ECB (**Figure 11**). This likely reflects its early hawkishness in 1Q26.

Yield to peer pressure

Similar results hold in the corresponding analysis on front-end yields. Running the same exercise, but replacing HDSIs with the corresponding 2Y swap yields in the given markets, the idiosyncratic share has waned in favour of the global in the majority of cases. The notable exception is JPY (and to a much lesser extent, EUR and SEK), where, relative to the long-run sample (blue), the idiosyncratic factor is now driving a greater share of 1m-ahead shocks in the last two years (black, **Figure 12**).

Figure 12: Idiosyncratic 2Y yield shocks are consistently in the minority and have become less impactful in most markets, with the exception of JPY

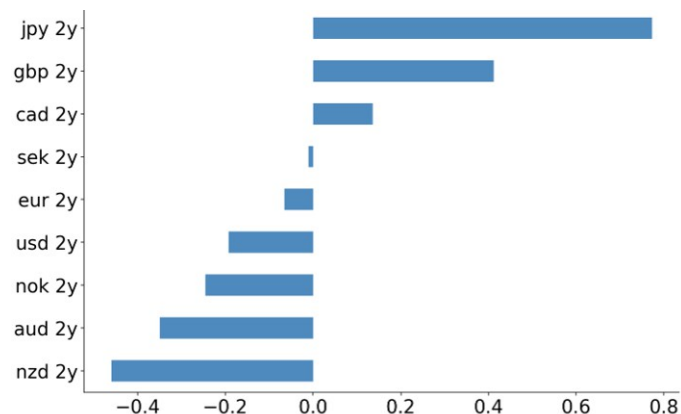
Proportion of each market's 1m-ahead 2Y swap yield shock which is idiosyncratic, rolling basis



Source: J.P. Morgan.

Figure 13: Japan and the UK have been net propagators of global shocks

Difference between % of shocks coming 'to' and 'from' each 2Y yield



Source: J.P. Morgan. The difference is computed by taking out the shock diagonal representing idiosyncratic shocks. Other things equal, a higher idiosyncratic share compared to others will designate a market as a net transmitter, since the global share 'to' that market is comparatively lower.

3. At least, from the perspective of forecasting the HDSIs on a 1m-ahead basis. Note there is a cross-product term in the variance decomposition which represents the interaction of the idiosyncratic shock and those from other equations. Our method implicitly attributes this to the global shock.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

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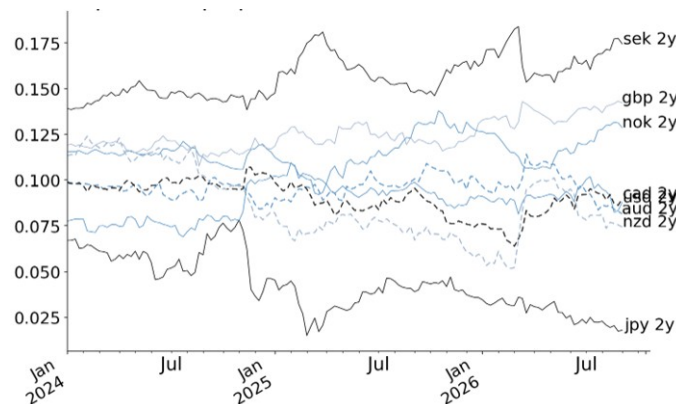
Recall that the idiosyncratic share varied considerably in the cross-section of HDSIs, whereas we find that for 2Y yields, the idiosyncratic share is consistently in the minority for all but JPY.⁴ By taking the difference between the proportion of the global shock running ‘from’ and ‘to’ a given market, we can characterize them as net transmitters or absorbers of 2Y yield shocks.

As would be expected, JPY and GBP are clear net transmitters (Figure 13). Both have seen bouts of concern regarding fiscal/monetary sustainability, also manifested in FX weakness, and have been relatively inscrutable in communication style. All of the above will increase the share of home-grown yield impulses. As large markets, they also carry greater potential for contagion, transmitting deleveraging/VAR shocks to other centres. In the longer end of the curve, as covered below, this is particularly true of JPY given concerns that Japan’s long-term trend of capital outflow into global bond markets could reverse at sufficiently high local yields.

Focusing on global shocks in 2Y yields, the Euro area’s contribution across markets has been relatively steady, with an intuitive ordering which places SEK, GBP and NOK as most sensitive (Figure 14). When **measured from the US’ perspective, the role of Euro area front-end yields has risen this year, as markets were tested on whether the Fed could maintain an idiosyncratic easing bias while others shifted neutral/hawkish (Figure 15).**

Figure 14: European 2Y yields transmit most strongly to other markets in the region

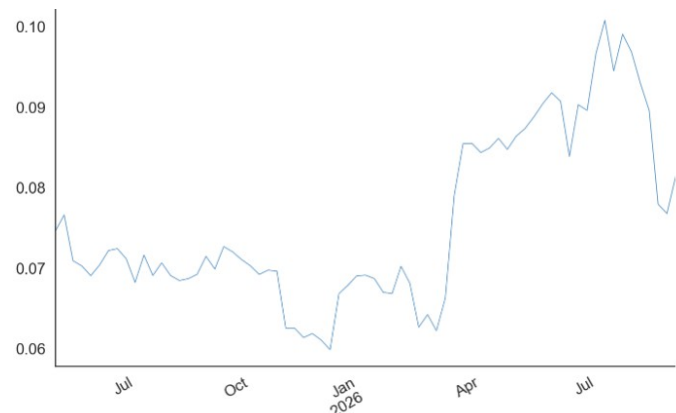
Proportion of each market’s 1m-ahead 2Y yield shock which owes to EUR 2Y, rolling basis



Source: J.P. Morgan.

Figure 15: EUR 2Y yields transmitted more strongly to USD 2Y this year, until the Fed eventually shifted to its own neutral then hiking bias

Proportion of USD 2Y yield shocks driven by EUR 2Y yields



Source: J.P. Morgan. The difference is computed by taking out the shock diagonal representing idiosyncratic shocks. Other things equal, a higher idiosyncratic share compared to others will designate a market as a net transmitter, since the global share ‘to’ that market is comparatively lower.

By contrast, in the same exercise **for 10Y yields, we find that the idiosyncratic factor has risen in prominence in the majority of markets.** Given our earlier results, this is consistent with **local term premia becoming more relevant.** Seemingly, common dynamics in central bank tone and front-end yield moves are proving less decisive for predicting long-end moves in a number of markets, where concerns about medium-term

4. Our colleagues found [in earlier work](#) from late 2024 that countries’ Taylor Rule inputs (inflation, slack) explained a high share of the variation across their policy rates. This cross-sectional assessment relates to a point in time, e.g. fixing the global mean policy rate, whereas we are describing changes in all rates/yields over time. It seems that common variation over time is greater than spatial variation at given moments.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
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J.P. Morgan Securities plc

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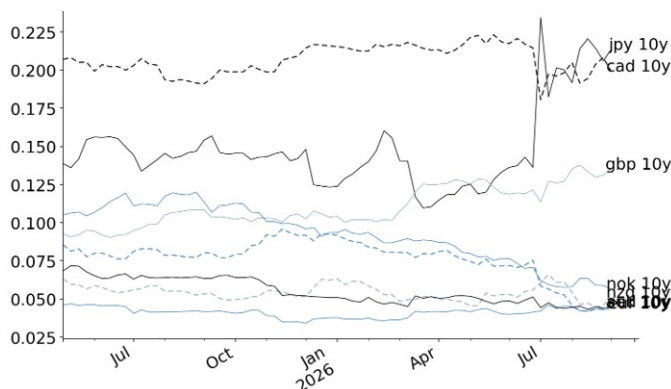
inflation and/or the reaction function are rising.

For the 2s/10s curve, the two markets with highest absolute idiosyncratic share (both over the long-run and recently) are JPY and AUD. The share has gone up most for JPY, to near 80%. Since JPY front-end yields and its HDSI have trended higher in recent years, the result on idiosyncratic curve factor seems to **capture market concerns that the BOJ is behind the curve**. For AUD, the idiosyncratic share has always been high. In other model frameworks, we have attributed this to Australia's unique characteristics as a DM commodity exporter (positive demand/income effect from commodity price shocks) and its variable rate mortgage structure, which can make the curve more counter-directional with policy rates.

Topically for the US, it is also worth noting that its sensitivity to the global shock via 10Y JPY yields has gone up (Figure 16). Indeed, our US colleagues have argued that the relative attractiveness of US Treasuries over long-dated JGBs on a currency-hedged basis helped to anchor long-term yields at lower levels during the NIRP and YCC era a decade ago, and just the opposite dynamic is unfolding right now (see [Treasuries](#), *US Fixed Income Markets Weekly*, 7/10/26). The share of idiosyncratic shocks for USD has been essentially unchanged, so the rising role of JPY is largely a rotation in the origin of global shocks to US. The US administration has of course showed heightened interest in Japanese policy and FX stability of late, seemingly respecting these dynamics.

Figure 16: Japanese 10Y yields are transmitting more strongly to UST yields

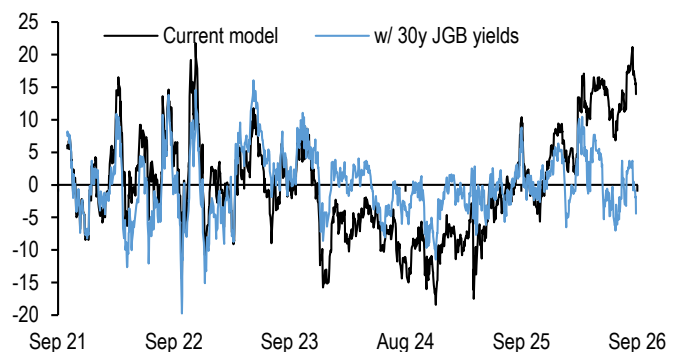
Proportion of UST10Y yield shock owing to other markets, rolling basis



Source: J.P. Morgan.

Figure 17: It appears the ongoing rise in long-end JGB yields is keeping the Treasury curve steeper than merely domestic factors would predict

Residual of J.P. Morgan 10s/30s Treasury curve fair-value model*, current model and adding 30-year JGB yields**, bp



* 10s/30s curve regressed on 1y1y OIS rates (%), 5y5y TIPS seasonally-adjusted breakevens (%), Fed balance sheet size relative to GDP (%), tariff dummy for trade uncertainty that turns 1 between 4/2/25 and 2/26/26. R-squared = 85.5%, SE = 7.6bp

**Current model, + adding 30-year JGB yields. R-squared = 93.7%, SE = 5.0bp

Source: J.P. Morgan.

Until more recent developments, the rise in long-term JGB yields was in excess of what would be implied by hawkish BoJ repricing, and has helped anchor the long end of the US curve at steeper levels than would be implied by purely domestic factors. A decade ago, low and negative policy rates globally helped to anchor Treasury yields at lower levels, mainly because Treasuries looked attractive on a currency hedged basis. Their value has eroded on this basis, and movements in other DM bond yields are also impacting Treasuries. **When we account for long-end JGB yields, we find that**

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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the 10s/30s curve, which appears approximately 10bp too steep in our model, appears more appropriately priced (Figure 17).

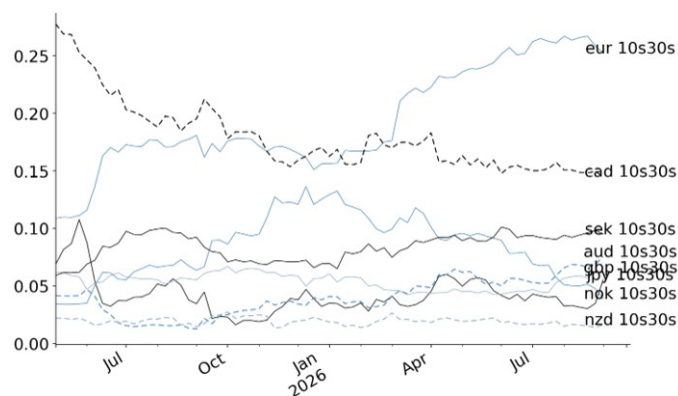
For 10s/30s, JPY has comfortably the highest idiosyncratic share of any market at above 80%, and this has been consistently rising for several years. On that basis, most of Japan's transmission to the deep end of the USD curve appears to be working through the 10Y sector in both markets. Interestingly, the Euro area 10s/30s curve spread is rising in prominence in its transmission to USD (Figure 18). This may reflect the reawakening of fiscal factors (defence spending etc) in Europe and implications for global growth/bond supply as well as technical factors around positioning for Dutch pension fund reform.

The valuation analysis presented up-front showed front-end yields generally skewing cheap to fair value, based on HDSIs and the data. The suite of VAR models presented subsequently fits changes in HDSIs, yields or yield curves as a system. This highlights which have moved more or less than expected over the last month with respect to each other, and given their trend properties.

Not surprisingly given the consistent sell-off of the last six months, we find that, similar to the conclusion from the yield level valuation exercise, 2s and 10s have cheapened more than expected in the majority of markets. **Though the residuals are larger in 2Y (a range of +10 to +30bp) than 10Y (range of -5bp to +12bp, Figure 19), which respects the fact that idiosyncratic shocks in term yields can germinate from more sources now, and create greater contagion in some markets.** For deeper curve spreads (e.g. 5s/30s), residuals are broadly negative, implying that recent relationships would normally imply steeper curves than realized over the last month.

Figure 18: The Euro area is becoming more relevant to US in longer-end curve shape

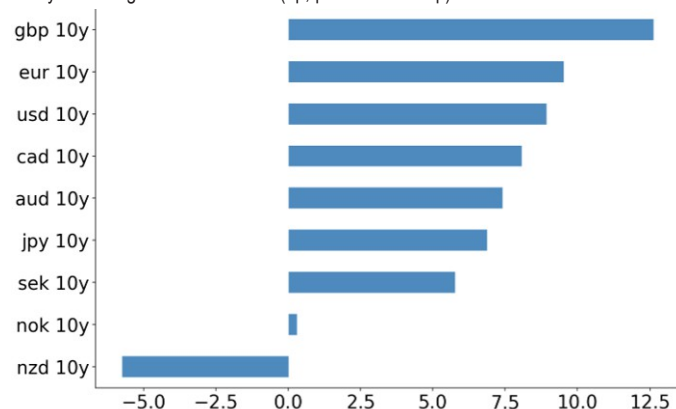
Proportion of USD 10s/30s shock owing to other markets, rolling basis



Source: J.P. Morgan.

Figure 19: 10Y yields have extended more than implied by the simple group dynamics, particularly in AUD and GBP, but residuals are modest relative to the front-end, respecting that term premia have had more numerous sources of shocks and contagion

10Y yield change model residuals (bp, positive is cheap)



Reduced form residuals from model as described above, which is unexplained 2s/10s curve change after fitting VAR on all markets jointly. Positive means curve has steepened more (or flattened less) than the model prediction.

Source: J.P. Morgan.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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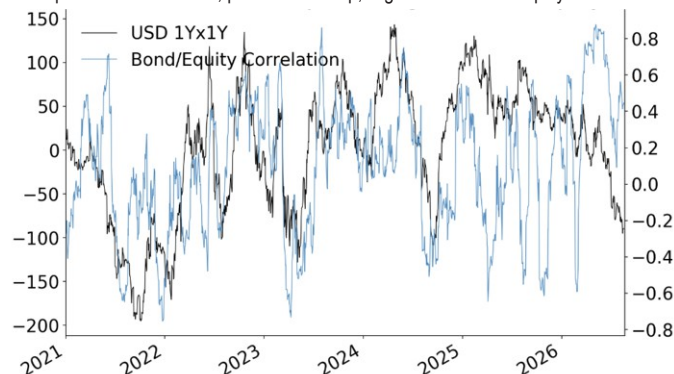
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Street Cred

What is the nature of the idiosyncratic risk? As noted upfront, **yields may depart from their usual HDSI-implied level if markets interpret the data or the rhetoric differently to central banks. Earlier in the cycle, such differences were well-summarized by risks from the supply side of the economy.** In the previous analysis, we fitted yields to principal components of the HDSIs, and US-specific macro controls (JPM's US inflation forecast (FHI) and growth revision index (FRI)). After 2020, residuals from this valuation model appeared to move with market perceptions of global supply shocks, proxied below by bond-equity correlation (**Figure 20**).

Figure 20: DM front-ends deviated from HDSI fit as market concerns with supply-side inflation waxed and waned

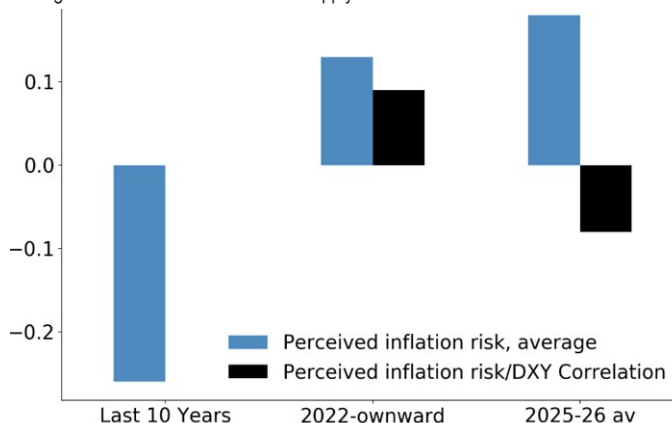
Left: Bp residual to HDSI fit, positive is cheap; Right: Global bond/equity correlation



*Bond/equity correlation computed using rolling 1m correlation of daily JPM global bond index returns and MSCI world local currency equity returns.
Source: J.P. Morgan.

Figure 21: Market perceptions of inflation risk have been structurally higher, but seem of a different nature recently

Rolling correlation between DXY and supply-side inflation risk measure



Inflation risk measure is bond/equity correlation as described previously. Blue is the average of this measure over the given period, black is its correlation to DXY over the period.
Source: J.P. Morgan.

When bond-equity correlation was particularly high, as in 2022 (COVID/Russia-Ukraine), or early 2025 (tariffs), yields traded cheap to valuations across G10. Markets priced extra risk premia because they thought central banks were under-appreciating inflation, or at least would have to respond more forcefully than their balanced language (downside on growth, upside on inflation) would historically suggest.

Over 2025/26, the bond-equity correlation has stayed high, but it is not flowing through to valuation gaps in the same way, nor is it positively correlated with the US dollar (**Figure 21**). This suggests **that the dominant source of HDSI-yield inconsistencies may now be shifting, or at least that frequent supply shocks are being somewhat balanced by positive demand impulses in some countries (fiscal policy, capex exuberance, equity returns, etc).**

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

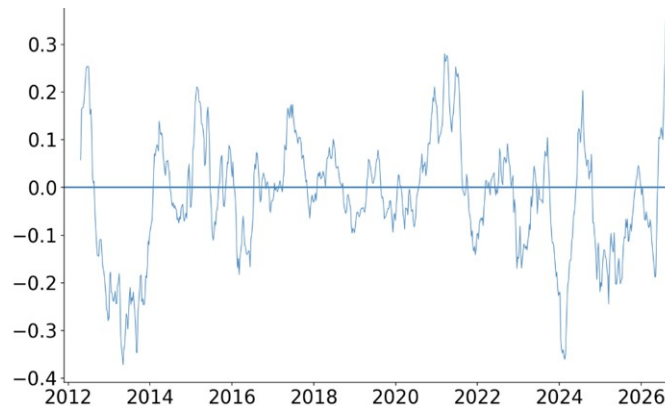
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Figure 22: Changes in curve shape have, unusually, been moving in the same direction as HDSIs across markets

Cross-sectional beta

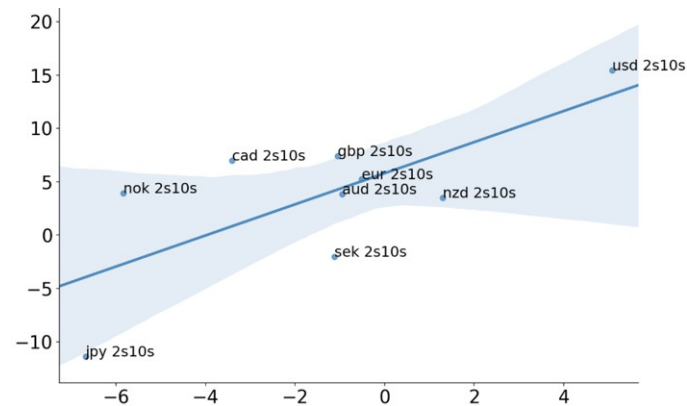


Beta at each point is from regression of 4 week change in 2s/10s curve on a constant and the associated HDSI, across G10.

Source: J.P. Morgan.

Figure 23: Lately, the positive relationship owes largely to US and JPY

X axis: Most recent 4 week HDSI change, Y axis: 4 week 2s/10s change



Source: J.P. Morgan.

This seems **consistent with our findings that global factors remain prominent in driving HDSIs and front-end yields, but idiosyncratic drivers are rising in influence for the long-end and curve shape**, where views on overall financial conditions, and the sustainability of local fiscal/monetary stances are expressed.

Figure 22 shows the cross-sectional beta from regressing 4-week changes in 2s/10s curve in G10 economies on the corresponding 4-week change in the home central bank HDSI through late August. Intuitively, the relationship should be negative if central bank tone were perceived as sufficiently hawkish/dovish to drive an inverse reaction in the curve (flattening/steepening respectively).

This is true on average, but **lately the beta has been strongly positive, suggesting that the central bank narrative is losing traction in financial conditions, and so accommodating them in some cases**. This would be the case if central bank tone were viewed as not sufficiently hawkish (or follow-through to policy rates was in question), relative to long-run fundamentals and the signals from other asset classes (**Figure 23**).

When cheap proves to be dear

Given the differing drivers of transmission across markets, valuations based on HDSIs and macro factors need to be complemented with an understanding of how the inputs may evolve. To put all this together we run separate regressions of country 10Y yields using constructed global and idiosyncratic components, for both HDSIs and inflation.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
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Figure 24: Using the 10Y sample with global and idiosyncratic HDSI and CPI terms, most markets appear cheap

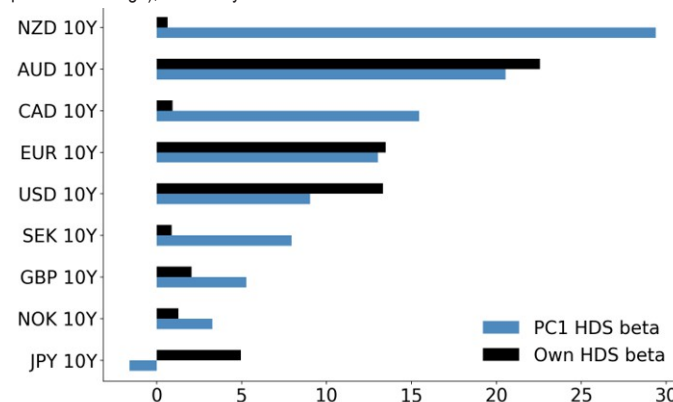
Models of 10Y yields on global, idiosyncratic factors; R², Residual (Bp, positive is cheap) and Z Score

	R ²	Resid (Bp)	Z Score
USD 10Y	0.894	51.9	1.35
EUR 10Y	0.960	22.0	0.91
JPY 10Y	0.816	126.5	4.36
GBP 10Y	0.972	23.1	0.88
AUD 10Y	0.915	26.4	0.69
CAD 10Y	0.900	-8.5	-0.29
NZD 10Y	0.867	-76.2	-1.73
NOK 10Y	0.942	21.4	0.81
SEK 10Y	0.946	15.0	0.64

Models of the form 10Y = f(constant, PC1 of HDSIs, Idiosyncratic HDSI, PC1 of JPM inflation FRIs, Idiosyncratic inflation FRI, JPM inflation FHI). Idiosyncratic factors are, for each market, the residual from the regression of that market's standardized country variable (HDSI, or FRI) on the corresponding PC1. Weekly data since Jan 2016.
Source: J.P. Morgan.

Figure 25: USD, EUR and AUD 10Y yields are sensitive to both global and local HDSI factors, and less so to inflation FRI factors

Beta of each 10Y yield to HDSI factors (PC1 and constructed idiosyncratic factor, Bp per 1 unit change), ranked by beta to PC1



Since PC1 selects the direction of maximal variance by definition, the regression input for the idiosyncratic variable is scaled by the variance of PC1 to give comparable units.
Source: J.P. Morgan.

For the HDSIs, PC1 is the global input, and we construct a transformed own-country idiosyncratic HDSI which is orthogonal, i.e. the additional information from a country HDSI, not explained by PC1. We do the same for J.P. Morgan's CPI FRI, which is an index of inflation forecast surprises. By allowing this to enter in level-terms, it acts as a long-run credibility proxy with global (PC1) and additional local (idiosyncratic) components. We also add the JPM inflation FHI (3Q-ahead forecast) for a forward-looking inflation component.

Most **10Y yields screen cheap** on these models (**Figure 24**). The reliability of that conclusion depends on vulnerability to the changing drivers in each market. To trust the signal and **enter longs in 10Y USD, EUR, or AUD requires both global and local HDSIs to stop rising**, since these markets have higher betas to both the global and idiosyncratic HDSI factors (**Figure 25**).

By contrast **10Y GBP and NOK** are lower beta to the HDSI factors, but highest beta to PC1 of the inflation FRIs. Their yields seem to embed term premia from the global inflation surge. **Narrowing in those residuals then appears more dependent on there being no further common shocks to inflation**, with less sensitivity to central banks' precise message.

Current levels of the idiosyncratic HDSI and inflation FRI indicators underlying the valuation for each market are shown in Figure 26. Japan and NZ stand out in terms of their idiosyncratic hawkish component. As it happens these are also **the two extremes in valuation, with 10Y JPY cheapest, and NZD richest**. The extreme finding for JPY may simply be a regime shift in the level of yields which no model could capture well,

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
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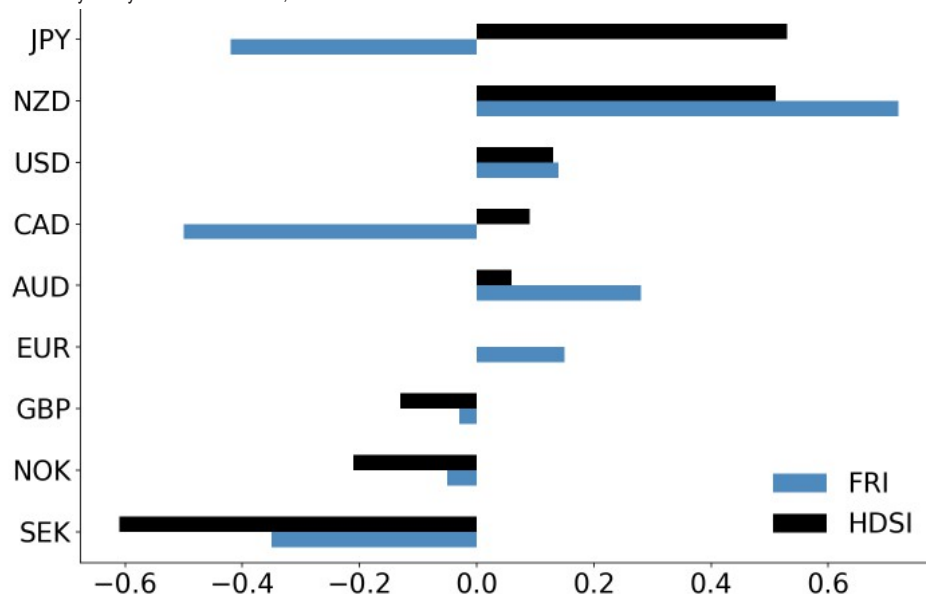
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though we note that its current idiosyncratic score for CPI is low (Figure 26 again), which is pulling the valuation toward lower yields. Of course, the fact that Japanese inflation is low relative to this decade's correlation to the global factor doesn't provide much comfort when inflation is still above target and the policy rate has been accommodative for much of that sample.

Figure 26: Japan and NZD have the highest idiosyncratic HDSI scores at present

Ordered by idiosyncratic HDSI score, unitless



Most recent readings on the country idiosyncratic scores for HDSI and inflation FRI are shown above. These are the idiosyncratic X inputs driving the current valuation in the model cited directly above.

Source: J.P. Morgan.

NZD screens rich, given its high idiosyncratic score on both the HDSI and inflation FRI. We tend to agree with this conclusion, though the magnitude is potentially overstated and we prefer to express this view in a 2s/10s steepener given the RBNZ is likely to be somewhat more gradual approaching its next hike.

Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
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Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
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Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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Ben K Jarman (61-2) 9003-7982
ben.k.jarman@jpmorgan.com
J.P. Morgan Securities Australia Limited
Jay Barry ^{AC} (1-212) 834-4951
john.f.barry@jpmorgan.com
J.P. Morgan Securities LLC

Francis Diamond ^{AC} (44-20) 7134-1504
francis.diamond@jpmorgan.com
J.P. Morgan Securities plc

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